

General Knowledge

Indian Economy

STUDY NOTES

Planning in India



PLANNING IN INDIA



Introduction to Planning in India

- Planning in India has been the primary tool for the government to set developmental goals and achieve rapid economic progress.
- Post-independence, the Indian government adopted centralized planning to address poverty, unemployment, and underdevelopment.
- **Socialist influence:** India's planning system was influenced by the **Soviet model** of centralized control over resource allocation, focusing on heavy industries and public sector-driven development.

Historical Background

- **Pre-Independence:**
 - Early ideas on planning came from leaders like **Dadabhai Naoroji**, **M. Visvesvaraya** (who authored *Planned Economy for India*), and **Subhash Chandra Bose's National Planning Committee (1938)**.
 - The idea was to have an organized approach to development for a self-sustaining economy.

Model/Plan	Year	Proposed by	Key Features
Agricultural Development Plan	1928	Indian National Congress	- Suggested comprehensive land reforms and cooperative farming. - Focused on irrigation projects and mechanization in agriculture. - Emphasized rural development and farmer-centric policies.
Visvesvaraya Plan	1934	M. Visvesvaraya	- Advocated rapid industrialization through state intervention. - Proposed a 10-year plan to improve per capita income and productivity. - Focused on industrial research and heavy industries (steel, cement).
National Planning Committee	1938	Subhash Chandra Bose and Jawaharlal Nehru	- Suggested a mixed economy model combining agriculture and industry. - Focused on self-sufficiency, employment generation, and reducing economic inequalities. - Highlighted the role of technology and science in development.
FICCI Plan	1930s	Federation of Indian Chambers of Commerce and Industry	- Supported private sector-led growth with public sector cooperation. - Advocated domestic industry protection through tariffs. - Emphasized investment-friendly policies for infrastructure development.

Bombay Plan	1944	J.R.D. Tata, G.D. Birla, and others	- Proposed a 15-year plan emphasizing state-led industrialization. - Called for heavy investments in basic industries (steel, power, railways). - Advocated for progressive taxation and balanced regional development.
Gandhian Plan	1944	S.N. Agarwal	- Built on Gandhi's philosophy of Gram Swaraj (village self-rule). - Focused on equitable resource distribution and localized production. - Promoted small-scale industries over urban industrial concentration.
Gandhian Economic Model	1945	M.K. Gandhi	- Emphasized self-reliant rural communities and decentralized planning. - Promoted small-scale village industries like spinning and weaving. - Rejected large-scale industrialization and focused on economic equality.
People's Plan	1945	M.N. Roy	- Advocated for a socialist economic model with the nationalization of industries and banks. - Proposed collective farming and labour empowerment. - Focused on basic needs like education and healthcare.

- **Post-Independence:**

- To formalize planning, the Planning Commission was established in **1950** under the chairmanship of the Prime Minister.

- The need for balanced growth across sectors like agriculture, industries, and services was seen as crucial to reducing regional disparities and improving living standards.

Planning Commission

- **Formation:** Created by an executive order of the Government of India in 1950.
- **Chairperson:** The Prime Minister of India.
- **Primary Objective:** Formulate Five-Year Plans (FYPs) and provide a roadmap for the country's economic development.
- **Main Functions:**
 - Set national priorities.
 - Allocate resources between central and state governments.
 - Monitor the progress of development initiatives.
- **Focus on Public Sector:** In the initial plans, public sector enterprises were considered the primary driver of economic development.

Five Year Plans

Plan	Period	Focus Areas	Model Followed	Target	Achievement	Important Developments
First Five-Year Plan	1951-1956	Agriculture, Irrigation, Energy	Harrod-Do mar Model	2.1% growth rate	3.6% achieved	Focus on food production, investments in irrigation, and community development.
Second Five-Year Plan	1956-1961	Industrialization (Nehru-Mahalanobis Model)	Mahalanobis Model	4.5% growth rate	4.2% achieved	Lay the foundations of heavy industries (steel, machine tools), stress on public sector expansion.

Third Five-Year Plan	1961-1966	Agriculture and Rural Development	Gadgil-Yojana Model	5.6% growth rate	2.8% achieved	Failed due to the Indo-China War (1962), the Indo-Pak War (1965), and severe droughts.
Plan Holiday	1966-1969	Addressing economic crisis post-wars	N/A	Stabilization	N/A	Annual plans implemented to address war and drought impacts; focus on agriculture and price stability.
Fourth Five-Year Plan	1969-1974	Growth with stability, Green Revolution	N/A	5.7% growth rate	3.3% achieved	Focus on self-reliance, Green Revolution in agriculture; inflation was a major issue.
Fifth Five-Year Plan	1974-1978	Poverty eradication (Garibi Hatao), Employment Generation	N/A	4.4% growth rate	4.8% achieved	"Garibi Hatao" slogan by Indira Gandhi; Plan cut short due to political changes.
Sixth Five-Year Plan	1980-1985	Poverty alleviation, Technology	N/A	5.2% growth rate	5.7% achieved	Emphasis on employment generation, technology upgradation, and

		Infrastruct ure				growth in infrastructure.
Seventh Five-Year Plan	1985-19 90	Modernizat ion of industries, Export promotion	N/A	5.0% growth rate	6.0% achieved	Industrial modernization, liberalization of trade, beginning of IT sector growth.
Eighth Five-Year Plan	1992-19 97	Liberalizati on, Privatizatio n, Globalizati on (LPG reforms)	N/A	5.6% growth rate	6.8% achieved	LPG reforms were implemented, with higher growth rates but rising income inequalities.
Ninth Five-Year Plan	1997-20 02	Inclusive growth, poverty reduction	N/A	6.5% growth rate	5.4% achieved	Focus on social justice, decentralization, and mixed results due to economic sanctions after nuclear tests (1998).
Tenth Five-Year Plan	2002-2 007	Doubling per capita income, reducing poverty	N/A	8.0% growth rate	7.6% achieved	Focus on education and poverty reduction; regional disparities persisted.

Eleventh Five-Year Plan	2007-2012	Inclusive growth, human capital development	N/A	9.0% growth rate	8.0% achieved	Investments in health, education, and employment; the global financial crisis slowed growth in later years.
Twelfth Five-Year Plan	2012-2017	Faster, sustainable, and more inclusive growth	N/A	8.0% growth rate	7.5% achieved	Focus on sustainability, increasing agricultural productivity, clean energy, and manufacturing.

Transition to NITI Aayog

Planning Commission Dissolution

The Planning Commission, established in **1950**, played a crucial role in India's economic planning for over six decades. However, by **2015**, the institution was dissolved and replaced by the National Institution for Transforming India (NITI Aayog), marking a significant shift in India's approach to economic planning.

Reasons for Replacement

- **Mismatch with Liberalized Economy (Post-1991 Reforms):**
 - **Planning Commission's Outdated Structure:** The Planning Commission was designed for a command-and-control economy, where central authority dictated economic priorities and allocations. Post-1991, India moved towards a more liberalized, market-oriented economy that required decentralized decision-making and private sector engagement, which the Planning Commission struggled to accommodate.
 - **Lack of Flexibility:** The rigid five-year plan framework became less relevant in a fast-changing globalized economy. The world was becoming more interconnected,

requiring quick policy responses and adaptive strategies, which the Commission's structure could not provide.

- **Centralized and Bureaucratic Approach:**

- **Top-Down Planning Model:** The Planning Commission functioned with a centralized decision-making process, where policies were made at the center and then passed down to states. This often ignored the diverse needs of India's states, which vary significantly in terms of economic, social, and environmental conditions.
- **Ignored Local Needs:** The Commission's one-size-fits-all approach was criticized for failing to consider state-specific requirements. This resulted in inefficiencies, with resources often being allocated without taking into account the unique developmental needs of each region.
- **Sluggish and Bureaucratic:** The Commission's planning and approval processes were slow and bogged down by bureaucratic procedures, which delayed decision-making and implementation. This hindered the timely execution of projects, limiting their impact on growth and development.

- **Lack of Private Sector Participation:**

- **Inadequate Engagement with the Private Sector:** As India's economy liberalized, the private sector became a key driver of growth. However, the Planning Commission's model focused primarily on public sector-driven development, often sidelining private sector input and investment, which was crucial in a market-driven economy.
- **Innovation and Technology:** The Commission did not prioritize the integration of new technologies and innovation in economic planning, which became essential for growth in sectors like IT, telecommunications, and infrastructure.

- **Fiscal Federalism and Cooperative Federalism:**

- **Planning Commission's Role as a 'Control Body':** The Commission had the power to allocate funds to states, but this often led to conflicts between the centre and states. States felt that they were not consulted adequately and were being dictated to by the centre, causing friction in centre-state relations.
- **Demand for Greater State Autonomy:** Many states demanded more autonomy in decision-making and the flexibility to implement their own development strategies. The

Commission's inability to embrace the principles of fiscal federalism was a major point of criticism.

Formation of NITI Aayog

In response to these challenges, the Government of India under Prime Minister Narendra Modi dissolved the Planning Commission and replaced it with NITI Aayog on January 1, **2015**. The move aimed to create a more dynamic, flexible, and collaborative policy-making body.

Key Concepts Related to Planning

- **Indicative Planning:** Post-1991, India shifted to this approach where the government plays more of a facilitator's role, setting targets and encouraging private sector participation rather than controlling all aspects of production.
- **Decentralized Planning:** Involving Panchayati Raj Institutions (PRIs) and local bodies for planning at the district and village levels, especially after the **73rd** and **74th** Constitutional Amendments.

NITI Aayog (National Institution for Transforming India)

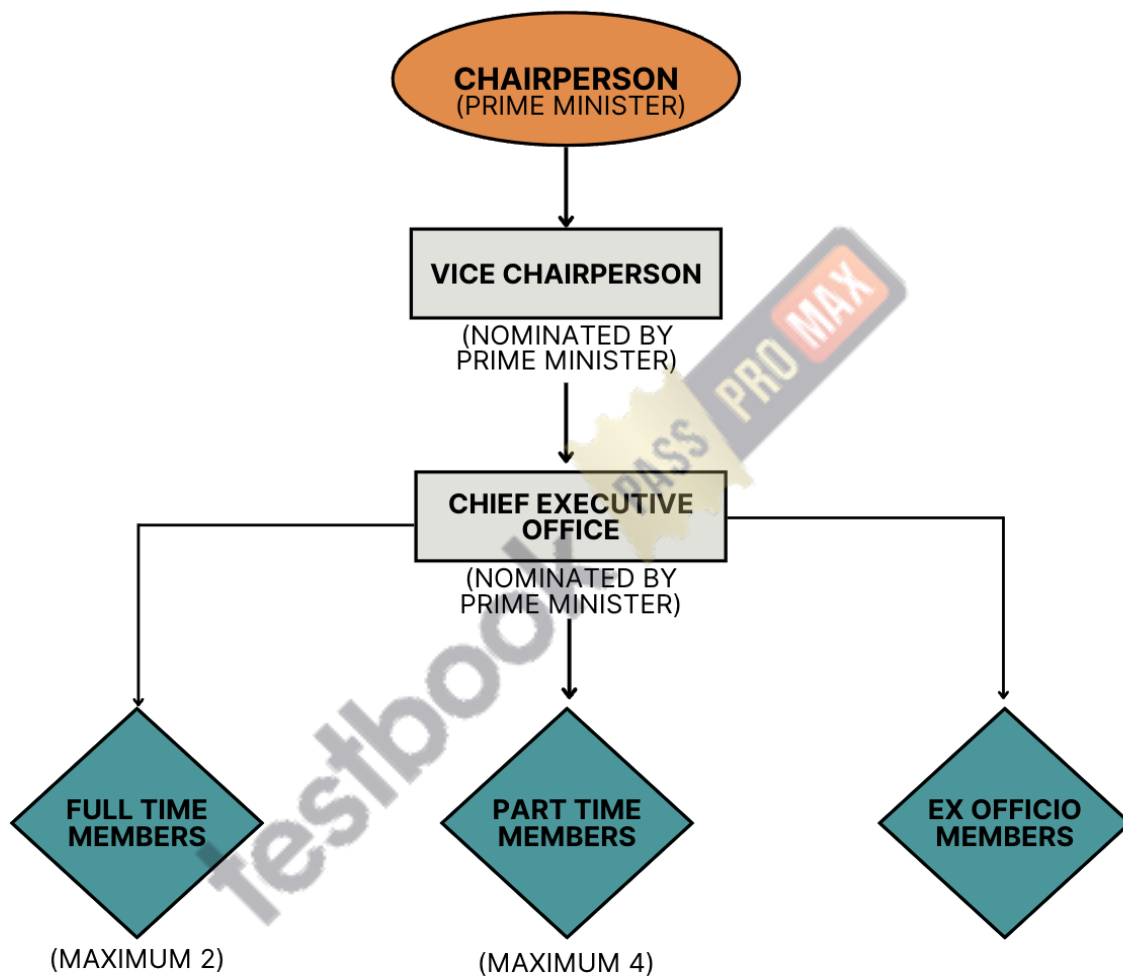
- **Established:** 1 January 2015.
- **Chairperson:** Prime Minister of India.
- **Vice Chairperson:** Appointed by the Prime Minister (current: Suman K. Bery).
- **Key Functions:**
 - **Policy Think Tank:** Provides strategic advice on key policy matters.
 - **Promotes cooperative federalism:** Active participation of state governments in decision-making.
 - Focuses on sustainable development goals (**SDGs**), technology, entrepreneurship, and public-private partnerships (**PPP**).
 - Monitoring and evaluation of government programs for better efficiency.

Key Features of NITI Aayog

- **Decentralized Planning:** NITI Aayog emphasizes a bottom-up approach, engaging states as equal partners in the policy-making process. This concept of Cooperative Federalism allows states to have more say in their developmental priorities, ensuring that plans are tailored to their specific needs.



ORGANISATIONAL STRUCTURE OF NITI AAYOG



- **Think Tank for Government:** Unlike the Planning Commission, which had the power to allocate funds, NITI Aayog functions as a think tank and a policy advisor, fostering innovation, entrepreneurship, and partnerships with various stakeholders, including the private sector, civil society, and academia.
- **Focus on Policy Implementation and Monitoring:** NITI Aayog not only formulates policies but also focuses on real-time monitoring of schemes and programs to ensure effective implementation and outcomes.

- **Emphasis on Technology and Innovation:** The Aayog encourages the use of cutting-edge technologies and data analytics to develop solutions for India's complex challenges, including infrastructure, urbanization, and social development.

Criticism of Planning in India

- **Bureaucratic inefficiency:** The Planning Commission was often criticized for delaying decision-making due to excessive bureaucratic layers.
- **Over-centralization:** States often complained about the top-down approach of resource allocation, which ignored local conditions.
- **Limited Private Sector Role:** Initially, the private sector was not allowed to play a significant role in the economy, which stunted growth.

Achievements of Planning in India

- **Green Revolution:** The Fourth Plan contributed to a significant increase in agricultural production, leading to food security.
- **Industrial Infrastructure:** Establishment of industries like steel plants, heavy machinery, and public sector undertakings (PSUs).
- **Social Development:** Focus on education, health, and poverty alleviation in later plans.

Future of Planning in India

As India moves forward, planning will evolve to address new challenges, with NITI Aayog at the centre of this transformation. The focus will be on data-driven policies, technological innovation, and sustainable growth, reflecting the dynamic nature of a globalized economy and the need to ensure inclusive development across all regions.

Key Areas of Focus for Future Planning

- **Data-Driven Policies:**
 - NITI Aayog is increasingly using data analytics, digital tools, and real-time monitoring to formulate more precise, evidence-based policies. The emphasis on data-driven decision-making allows the government to track performance indicators, assess the impact of schemes, and make adjustments quickly.

- Programs like the India Innovation Index and State Health Index measure the performance of states on various socio-economic parameters, providing data for improving governance.
- **Technological Innovation:**
 - Technology is expected to play a critical role in shaping India's future planning strategies. NITI Aayog has prioritized the adoption of Artificial Intelligence (AI), Big Data, blockchain, and other emerging technologies to modernize sectors like health, agriculture, education, and urban development.
 - Initiatives like the Atal Innovation Mission (**AIM**) focus on creating a culture of innovation and entrepreneurship across the country. AIM has established thousands of Atal Tinkering Labs to encourage young minds to engage in science, technology, and problem-solving.
- **Sustainable Growth:**
 - With the global shift towards sustainability, NITI Aayog is spearheading efforts to ensure sustainable and inclusive growth. Programs focusing on renewable energy, water conservation, and pollution control are key aspects of future planning.
 - NITI Aayog's National Energy Policy emphasizes a shift towards clean energy, aiming to achieve **450 GW** of renewable energy capacity by 2030. Similarly, the Composite Water Management Index helps states improve water resource management, which is crucial for long-term environmental sustainability.

Planning Commission vs. NITI Aayog

Aspect	Planning Commission	NITI Aayog
Established	1950 by a resolution of the Government of India.	2015, replacing the Planning Commission under a Cabinet resolution.
Type of Body	A centralized institution responsible for formulating five-year economic plans, focusing on public sector investments and development.	A policy think tank and advisory body aiming to foster cooperative federalism, promote innovation, and strategize long-term development policies.

Approach	Top-down, centralized planning: Resource allocation and planning were dictated by the Central Government, often leaving states with little flexibility.	Bottom-up, cooperative federalism: Encourages collaboration between the centre and states, promoting decentralized planning and decision-making based on local needs.
Role of States	Limited role: States had minimal involvement in the planning process, as the Planning Commission dictated development strategies and resource allocations.	Greater role for states: NITI Aayog emphasizes states as equal partners in development, giving them a significant voice in policy formulation and resource prioritization.
Focus	Focused primarily on Five-Year Plans, with a key emphasis on public sector-led growth. It was based on the socialist vision of centralized control of resources.	Focuses on long-term strategic policies, public-private partnerships (PPP), innovation, technology-driven growth, and economic reforms for faster, inclusive development.
Monitoring	Centralized monitoring: It conducted evaluations primarily through its bureaucratic structure, which often led to slow implementation and inefficiency.	Outcome-based, real-time monitoring and evaluation: NITI Aayog uses data-driven approaches like dashboards and real-time tracking to monitor the performance of government schemes and policies.
Resource Allocation	Played a crucial role in the allocation of central funds to states and sectors through the five-year plans. It decided on resource distribution, often with a rigid formula.	No direct role in resource allocation: NITI Aayog advises on policy but doesn't allocate funds. The task of resource distribution now rests with the Finance Commission.
Flexibility	Rigid and slow to adapt: The centralized planning model faced challenges in the post-1991 liberalized economy, which required more dynamic and flexible approaches.	Highly flexible and adaptive: NITI Aayog is designed to quickly respond to changing economic conditions, challenges, and opportunities. It promotes innovation, policy

		experimentation, and cross-sectoral solutions.
Key Initiatives	Responsible for flagship initiatives like the Five-Year Plans, Green Revolution, Integrated Rural Development Programme (IRDP), and National Rural Employment Programme (NREP).	Promotes programs like the Aspirational Districts Programme, Atal Innovation Mission, Digital India, Sustainable Development Goals (SDGs) Localization, and India Innovation Index.
Post-1991 Relevance	Struggled to remain relevant in the post-1991 liberalized economy as its public-sector-focused planning could not keep up with the requirements of market-driven reforms.	More aligned with the liberalized economy post-1991, focusing on structural reforms, public-private partnerships, and promoting entrepreneurship, investment, and technological growth.